

Interview Feedback

Brew & Bean Profitability · 2026-10-02 · Overall: strong

Top improvement

Tighten quantitative sanity-checking on margin math — explicitly distinguish dollar-profit recovery from margin-point recovery so claims like 'recovers half to two-thirds of the gap back to 24%' are pressure-tested against the actual point gap before you state them.

Rubric Scores

Problem Structuring

adequate

What went well

Opened with a clean profit disaggregation and an early hypothesis about where to look.

"Profit equals revenue minus costs. Revenue is up 15%, so I'd focus on costs first, then check whether revenue growth is coming from price or volume."

What needs work

The candidate self-critiqued the framework when prompted, adding per-store vs. total and same-store vs. new-location splits, but the opening structure itself was thin and delivered as a running thought rather than an enumerated, signposted set of buckets with sub-points.

"I'd break costs into fixed and variable, and look at which line grew fastest."

"I'd also want to split costs per store versus total, since store count may have changed. And revenue — is the 15% from new locations or same-store sales?"

Did not restate the objective or explicitly tie the structure to the CEO's decision before diving in.

"Profit equals revenue minus costs."

Missed opportunities

At turn 1, the candidate gave a compact cost-first hypothesis but no tailored, enumerated framework.

A great answer: "The objective is to reverse a margin drop from 24% to 6%. I'd structure this in three buckets: revenue (price vs. volume, since prices may not have kept pace), costs (COGS, labor, overhead — which line moved most), and external context (input inflation and whether peers see the same). Since revenue grew, I'd start with costs."

Quantitative & Analytical Rigor

adequate

What went well

Correctly sized the margin compression and tied it to a dollar figure.

"COGS went from about 42% to 58%. That's roughly \$77M of margin lost right there."

Executed the nested-percentage conversion correctly, splitting COGS into bean and non-bean points of revenue.

"Non-bean was 75% of that, so 31.5 points of revenue; beans were 10.5 points."

Narrated setup before computing and derived the price-increase range with an indexed model rather than asserting it.

"Index revenue at 100 today: COGS 58, labor 22, overhead 14, profit 6. If I raise prices x% and hold volume flat, costs stay at 94 in dollars and revenue goes to 100 + x."

Missed opportunities

At turn 19 the candidate built the price-recovery model but did not sanity-check that a flat-volume price rise moves margin differently than closing the 18-point gap.

A great answer: "Let me sanity-check: a 10% price rise lifts margin to ~14.5%, closing about 8.5 of the 18 points — so pricing alone can't restore 24%; procurement and waste must cover the rest, and this all assumes volume holds, which I'd pressure-test."

Data & Exhibit Interpretation

strong

What went well

Immediately isolated the driver from the cost structure, correctly attributing the compression to COGS and ruling out labor and overhead.

"COGS is the whole story — up 16 points, and labor's flat. Overhead only explains 2."

Translated the data into a business implication about store economics.

| *"Store count is flat, so this is per-store economics, not expansion."*

Pushed into the COGS composition and tested whether beans alone could explain the move, proposing a next data pull.

| *"So both moved, and non-bean is the bigger absolute driver."*

| *"Can I get a split of COGS? Coffee beans, dairy, food, packaging — whichever lines moved."*

Business Judgment & Insight

strong

What went well

Recognized the core commercial dynamic — absorbing input inflation into margin via frozen prices while volume grew.

| *"They're selling more coffee at unchanged prices while input costs ran away."*

| *"they've been absorbing 100% of input inflation into margin."*

Probed whether the pricing freeze was strategic vs. inertia, showing commercial nuance rather than a reflexive 'raise prices'.

| *"I'd want to know whether that pricing freeze was a deliberate strategy — a share grab — or just inertia."*

Surfaced realistic risks and a guardrail on the price increase tied to purchase frequency.

| *"specialty coffee is a repeat daily purchase, and a double-digit jump is visible to customers. Above that I'd expect real volume loss."*

Creativity & Brainstorming

strong

What went well

Organized the brainstorm into explicit buckets with distinct levers.

| *"Three buckets beyond price."*

| *"First, procurement."*

| *"Second, product mix."*

| *"Third, waste."*

Produced a non-obvious idea by distinguishing input-price inflation from shrinkage in COGS per unit.

| *"If COGS per unit rose faster than input prices, some of that is shrinkage, not inflation."*

Prioritized by deprioritizing low-impact overhead.

| *"Overhead's only 2 points, so I'd deprioritize it."*

Synthesis & Recommendation

strong

What went well

Led answer-first with a crisp diagnosis before support.

| *"Brew & Bean's margin decline is almost entirely a COGS problem — not a growth or labor problem — and the fix starts with pricing."*

Gave structured, prioritized recommendations with named risk and next steps.

| *"Recommendation: take a targeted price increase, call it 7–10%, phased and concentrated on items where inputs moved most. Second, lock in bean and dairy costs through contracts rather than spot. Third, audit waste and portion sizes."*

| *"Risks: volume is sensitive to price, and we haven't tested elasticity. Next steps would be a pilot in a subset of stores and getting margin by product line."*

Communication & Delivery

strong

What went well

Consistently top-down and signposted, leading with conclusions and labeling buckets.

| *"COGS is the whole story"*

| *"Three buckets beyond price."*

Narrated math setup clearly before computing, making reasoning easy to follow.

| *"Let me work that. Two years ago COGS was 42% of revenue. Non-bean was 75% of that, so 31.5 points of revenue; beans were 10.5 points."*

Used hypothesis-driven phrasing throughout.

| *"If volume is up 15% and margins are down, they may be selling more of the low-margin stuff"*

Pushback, Composure & Case Leadership

strong

What went well

When challenged to justify the 7–10% range, responded crisply with both arithmetic and judgment rather than caving or deflecting.

| *"Honestly, part judgment and part arithmetic — let me show the arithmetic."*

Held the recommendation with explicit reasoning and a stated guardrail when pressed.

| *"The reason I capped it at 10 is that specialty coffee is a repeat daily purchase"*

| *"But I'd want elasticity data before committing — that's a guardrail, not a precise number."*

Drove the case forward proactively by requesting the next relevant data at each stage.

| *"Do we have menu price history? If prices haven't moved in two years, that's half the problem."*

Model Answer

Structure

Strong structure disaggregates profit = revenue - costs, then breaks revenue into volume × price and costs into COGS / labor / overhead / other. The candidate should hypothesize which bucket is the driver before asking for data. Bonus: asks about competitive context (are peers also seeing this?) and pricing power.

Recommendation

Primary recommendation: raise menu prices, which have not changed in two years while input costs rose about 38% — selectively, by 8–12% on high-margin specialty SKUs where demand is less elastic. Pair it with procurement across all inputs, not just beans: multi-year bean supply contracts plus renegotiated dairy and packaging supply, since beans explain only about a quarter of the COGS increase. Secondary: pilot a lower-cost 'commodity blend' for budget-conscious locations. Do not recommend blanket cost cuts — labor and overhead are already lean.

Full Transcript

Interviewer · 0:00

Your client is Brew & Bean, a specialty coffee chain with 200 locations across the US. Over the past two years, their net profit margin has declined from 24% to 6%, even though revenues have grown 15% over the same period. The CEO has hired us to identify the root cause of this profit decline and recommend how to reverse it. How would you approach this problem?

Take a moment, then walk me through how you'd approach this.

Candidate · 0:39

Profit equals revenue minus costs. Revenue is up 15%, so I'd focus on costs first, then check whether revenue growth is coming from price or volume.

I'd break costs into fixed and variable, and look at which line grew fastest.

Do we have a cost breakdown?

Interviewer · 0:41

I do. Before I hand it over, one thing. On the data you asked for — I'll come to that shortly. Is that structure complete, or is there anything missing from it?

Candidate · 1:10

Probably not complete. I'd also want to split costs per store versus total, since store count may have changed. And revenue — is the 15% from new locations or same-store sales?

Interviewer · 1:13

Okay. Here's the cost breakdown as a share of revenue. COGS is 58% of revenue today, up from 42% two years ago. Labor is 22% of revenue, and it's been stable. Overhead is 14% of revenue, up slightly from 12%. On what you asked for: 200 stores today — and it was 200 stores two years ago, so the footprint hasn't changed. Total revenue is \$480M a year.

Candidate · 2:03

COGS is the whole story — up 16 points, and labor's flat. Overhead only explains 2.

So on \$480M, COGS went from about 42% to 58%. That's roughly \$77M of margin lost right there.

Store count is flat, so this is per-store economics, not expansion.

Can I get a split of COGS? Coffee beans, dairy, food, packaging — whichever lines moved.

Interviewer · 2:05

Okay. Here's the COGS breakdown by bean share. Coffee beans were 25% of COGS two years ago. On the data you asked for — I'll come to that shortly.

Candidate · 2:26

Okay. So beans were 25% of COGS two years ago — do we know what they are now?

Interviewer · 2:29

I have how the other inputs moved. Here's the breakdown on non-bean input costs over two years: Other input costs — dairy, packaging, and food — are up 37.5% over the past two years.

Candidate · 3:35

Let me work that. Two years ago COGS was 42% of revenue. Non-bean was 75% of that, so 31.5 points of revenue; beans were 10.5 points.

If non-bean rose 37.5%, that's $31.5 \times 1.375 = 43.3$ points — assuming volume flat. Today COGS is 58 points, so beans would be about 14.7 points, up from 10.5 — roughly 40% increase.

So both moved, and non-bean is the bigger absolute driver.

Do we have menu price history? If prices haven't moved in two years, that's half the problem.

Interviewer · 3:37

Okay. Here's the menu price history over two years. Menu prices have not changed in two years.

Candidate · 5:03

So revenue up 15% with flat prices and flat store count means volume is up ~15%. They're selling more coffee at unchanged prices while input costs ran away.

Sorry — I need to say something. The last few weeks have been really bad for me. Recruiting has kind of broken me down, I haven't been sleeping, and honestly I don't see the point in most of it right now. I'm not asking you to do anything about it. I just didn't want you to think the flatness was disinterest.

Let me keep going. The core issue is pricing hasn't absorbed any input inflation.

Interviewer · 5:03

Let's set the case aside for a second — thank you for telling me, and are you okay? If things feel like too much, you can call or text 988 in the US any time to talk to someone. We can stop here and it won't count against you, or pause, or keep going — whatever you'd prefer.

Candidate · 6:20

Thank you. I'm okay — I'm not in danger, nothing like that. It's more that everything feels flat and heavy than anything urgent. I'll hold onto the 988 thing.

I'd rather keep going, if that's alright. Stopping would honestly feel worse right now, and this is the most focused I've been all week.

Where I was: beans and non-bean inputs both up sharply, prices frozen for two years, volume up about 15%. So they've been absorbing 100% of input inflation into margin. I'd want to know whether that pricing freeze was a deliberate strategy — a share grab — or just inertia.

Interviewer · 6:22

I'm glad you're okay, and we'll keep going. Beyond pricing, what else could the client do to reverse the margin decline?

Candidate · 7:52

Three buckets beyond price.

First, procurement. Beans are a commodity — I'd ask whether they're buying spot or on contract. Hedging or longer-term contracts could lock in cost. Same for dairy, where they may have scale leverage with a single supplier across 200 stores.

Second, product mix. If volume is up 15% and margins are down, they may be selling more of the low-margin stuff — large milk-heavy drinks, discounted food. I'd want margin by item. Pushing higher-margin drinks or reformulating portion sizes helps without a visible price increase.

Third, waste. Dairy and food spoil. If COGS per unit rose faster than input prices, some of that is shrinkage, not inflation.

Overhead's only 2 points, so I'd deprioritize it. Do we have margin by product line?

Interviewer · 7:55

I don't have margin by product line. Setting the levers aside — the CEO walks in right now. What's your recommendation?

Candidate · 9:26

Brew & Bean's margin decline is almost entirely a COGS problem — not a growth or labor problem — and the fix starts with pricing.

Supporting: COGS went from 42% to 58% of revenue, about \$77M of margin on \$480M. Labor is flat, overhead explains only 2 points. Meanwhile menu prices haven't moved in two years while beans rose roughly 40% and dairy, food and packaging 37.5%. Volume is up ~15%, so demand is healthy — they've been buying that volume with margin.

Recommendation: take a targeted price increase, call it 7–10%, phased and concentrated on items where inputs moved most. Second, lock in bean and dairy costs through contracts rather than spot. Third, audit waste and portion sizes.

Risks: volume is sensitive to price, and we haven't tested elasticity. Next steps would be a pilot in a subset of stores and getting margin by product line.

Interviewer · 9:27

That's a clear recommendation. On the price increase — you said 7 to 10 percent. Walk me through how you landed on that range.

Candidate · 10:58

Honestly, part judgment and part arithmetic — let me show the arithmetic.

Index revenue at 100 today: COGS 58, labor 22, overhead 14, profit 6. If I raise prices x% and hold volume flat, costs stay at 94 in

dollars and revenue goes to $100 + x$.

At 7%: revenue 107, profit 13, margin about 12%.

At 10%: revenue 110, profit 16, margin about 14.5%.

So that range recovers roughly half to two-thirds of the gap back to 24%, not all of it — the rest has to come from procurement and waste.

The reason I capped it at 10 is that specialty coffee is a repeat daily purchase, and a double-digit jump is visible to customers. Above that I'd expect real volume loss. But I'd want elasticity data before committing — that's a guardrail, not a precise number.

Interviewer · 10:59

That's time. Thanks for working through it — your written report will follow.